EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission to attain peace, unity and progress, through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Ballesteros for the year 2022 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Ballesteros, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase (Decrease)
Financial Position			
Assets	378,332,130.91	293,289,529.25	85,042,601.66
Liabilities	66,089,542.53	64,203,142.00	1,886,400.53
Govt. Equity	312,242,588.38	229,086,387.25	83,156,201.13
Financial Performance			
Income	188,600,661.64	142,856,949.00	45,743,712.64
Expense	157,798,611.78	148,356,266.62	9,442,345.16
Appropriations, Allotments and Obligation			
Appropriations	203,674,292.00	176,150,646.00	27,523,646.00
Allotments	203,674,292.00	176,150,646.00	27,523,646.00
Obligations	169,203,048.88	153,645,443.26	15,557,605.62

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Ballesteros, Cagayan for the year December 31, 2022 due to the following:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P225,658,424.58 as at December 31, 2022 cannot be determined due to: (1) non-submission of the Report on Physical Count of PPE and non-reconciliation of property accounting records; and (2) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

2. The accuracy of the Road Networks account totaling P172,218,682.67 as at December 31, 2022 cannot be established due to: (1) failure to conduct verification of the existence of the local road networks; (2) absence of a complete Local Road Network Property Card for all local roads; and (3) lack of disclosure in the Notes to Financial Statements on the road network system, contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, the reliability and fair presentation of the account in the financial statements could not be ascertained.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P225,658,424.58 as at December 31, 2022 cannot be determined due to: (1) non-submission of the Report on Physical Count of PPE and non-reconciliation of property accounting records; and (2) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

We recommended that the Management:

a. Thru the Inventory Committee, submit the Report on the Physical Count of Property, Plant and Equipment within the prescribed period accordance with Sec. 124 (2) of the MNGAS for LGUS, Vol. I, for the timely review and verification of the PPE accounts;

b. Update the property records based on the results of physical inventory, and reconcile the same with accounting records to make the records reflective of the actual count of PPEs;

c. Undertake all other procedures prescribed under COA Circular No. 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

d. Direct the GSO to maintain Property Cards and the Municipal Accountant to update the PPE Ledger Cards for each item of the PPE pursuant to Section 114, Paragraph 4 of the MNGAs for LGUs, Volume I.

2. The accuracy of the Road Networks account totaling P172,218,682.67 as at December 31, 2022 cannot be established due to: (1) failure to conduct verification of the existence of the local road networks; (2) absence of a complete Local Road Network Property Card for all local roads; and (3) lack of disclosure in the Notes to Financial Statements on the road network system, contrary to COA Circular No. 2015-008 dated November 23, 2015, thus, the reliability and fair presentation of the account in the financial statements could not be ascertained.

We recommended that the Local Chief Executive:

a. Enjoin the Municipal Engineer, General Services Officer and the Municipal Accountant to comply with the accounting and reporting guidelines prescribed under COA Circular No. 2015-008 dated November 23, 2015 to ensure fair presentation of the Road Networks account in the financial statements;

b. Require the conduct of inventory of the local roads under the LGU's jurisdiction and the reconciliation of the list of inventory per Local Road Inventory Report and Road Map with those recorded in the Road Networks account. Thereafter, the preparation of Local Road Network Report must be observed yearly; and

c. Direct the Municipal Accountant to provide adequate disclosure regarding the Road Network System in the Notes to Financial Statements using the format prescribed in COA Circular No. 2015-008.

3. The slow implementation of various projects programmed under the 20% Development Fund for current and continuing appropriations resulted in the unutilized amount of P19,500,734.61 and deprived the intended beneficiaries of the benefits that could be derived therefrom, which adversely affects the effective and efficient advancement of the Municipality towards economic development.

   We recommended that the Management:

   a. Make a strategic action plan on the proper scheduling in the implementation of the projects /programs to ensure its full implementation, as well as utilize the funds budgeted thereon.

   b. Review whether or not the prior years' unimplemented projects are still appropriate for the needs of the constituents.

   c. Direct the concerned department to monitor regularly the implementation of the 20% Development Plan and closely coordinate with other departments to fully achieve the desired goals and benefits as planned.

   d. Review the unexpended balances of appropriation of all completed PPAs for inclusion in the next budgeting period to finance projects under the 20% DF for the succeeding year.

4. Outstanding checks totaling to P18,347,334.22 as of December 31, 2022 included stale checks amounting to P3,030,239.52, which have been stale for more than six (6) months, contrary to Section 59 of the Manual on the New Government Accounting System for LGUs, thus, casting doubt on the accuracy, propriety and reliability of the Cash in Bank account.

   We recommended that the Municipal Accountant:

   a. Exert extra effort to review the long outstanding/stale checks and require the Municipal Treasurer to cancel the unclaimed stale checks and to furnish the Accounting Office with the original Disbursement Vouchers and its supporting documents, for the preparation of the Journal Entry Voucher, to ensure recording of such cancellation.

   b. Secure Monthly Bank Statements to prepare the Bank Reconciliation Statements to determine whether checks claimed by the payees were presented for payment, and secure the addresses of the payees for notification of the return of stale checks in their possession for replacement.

c. Draw the JEV to restore the cash and liabilities pertaining to the stale checks to present fairly the recorded Cash in Bank and accounts payable accounts.

5. The accuracy, validity and completeness of the reported balances of the Real Property Tax Receivable and Special Education Tax Receivable amounting to ₱13,954,078.93 and ₱15,110,601.12 as at December 31, 2022, respectively, cannot be determined due to incomplete basis and supporting documents to account for the composition thereof and unreconciled/unequal amount of their beginning balance and collections during the year, which are inconsistent with Section 246 of the Republic Act No. 7160 and Section 20 of the New Government Accounting System Manual for LGUs, Volume I.

   We recommended that the Municipal Mayor require:

   a. The Municipal Treasurer to furnish the Municipal Accountant the certified list of taxpayers, with the amount due and collectible, which would be the basis of the latter, to set-up the RPT/SET Receivables at the beginning of the accounting period;

   b. The Municipal Treasurer and the Municipal Accountant to ensure that all due and demandable taxes be accounted properly in their own records and any delinquent accounts be continuously reported in the books, unless subsequently settled;

   c. The Municipal Accountant to reconcile the recorded amount of collections in the RPT Receivable and SET Receivable accounts and draw the appropriate journal entries;

   d. The Municipal Treasury to implement a more intensive strategy in the collection of Real Property Tax in the Municipality; and

   e. The concerned officials to adhere strictly to the provisions of Section 246 of RA No. 7160 and New Government Accounting System Manual for LGUs, Volume I.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68	-	-	116,827.68	-
Current Year	-	-	-	-	-
Total	**116,827.68**	**-**	**-**	**116,827.68**	**-**
Disallowances					
Prior Years	474,835.27	-	-	474,835.27	-
Current Year	-	-	-	-	-
Total	**474,835.27**	**-**	**-**	**474,835.27**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the nine (9) audit recommendations embodied in the CY 2021 Annual Audit Report, two (2) were fully implemented, one (1) was partially implemented and six (6) were not implemented.